

Human Resource Management

Decision Making Guide

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Introduction to HRM

The HRM Simulation is thoughtfully designed to enhance participant's understanding in three crucial areas: Talent Acquisition, Talent Management, Organization effectiveness & behaviour. Progressing through the simulation involves three steps. Firstly, participants can go through the case guide which is a downloadable reading material and an accompanying video presenting the decision-making scenario. Secondly, participants must make well-considered decisions in the four designated areas, including Talent Acquisition, Talent Management, Effectiveness & Budgets, as well as a Case Scenario. These decisions significantly impact the simulation's success. Lastly, participants receive comprehensive reports offering valuable feedback and analysis, supporting their learning and growth in the specified domains.

Scenario

Participant manages a Human resource department of a well-known IT firm which has more than 7500 employees across 4 departments. The company is operating at a global level and has most of its clients based out of North America, the UK & Europe. As CHRO of the human resource department, the participants need to decide on talent acquisition, talent management and organizational effectiveness. The goal is to maximize stakeholder satisfaction.

The company consists of 4 divisions to serve the client at best i.e., Data Science, Software development, Support function & Process audit. The participant needs to understand the dynamics and requirements of all 4 departments and their importance to business in terms of revenue and cost centre. In the simulation the divisions are being defined as under:

- Data Science as a niche division
- Software development as a general business division
- Support function as a managed division
- Process audit as dud division

In above mentioned 4 divisions, the employees are divided into 3 profiles Top Management, Senior Management & Junior Management. The decision-making in the simulation game will differ for all three profiles.

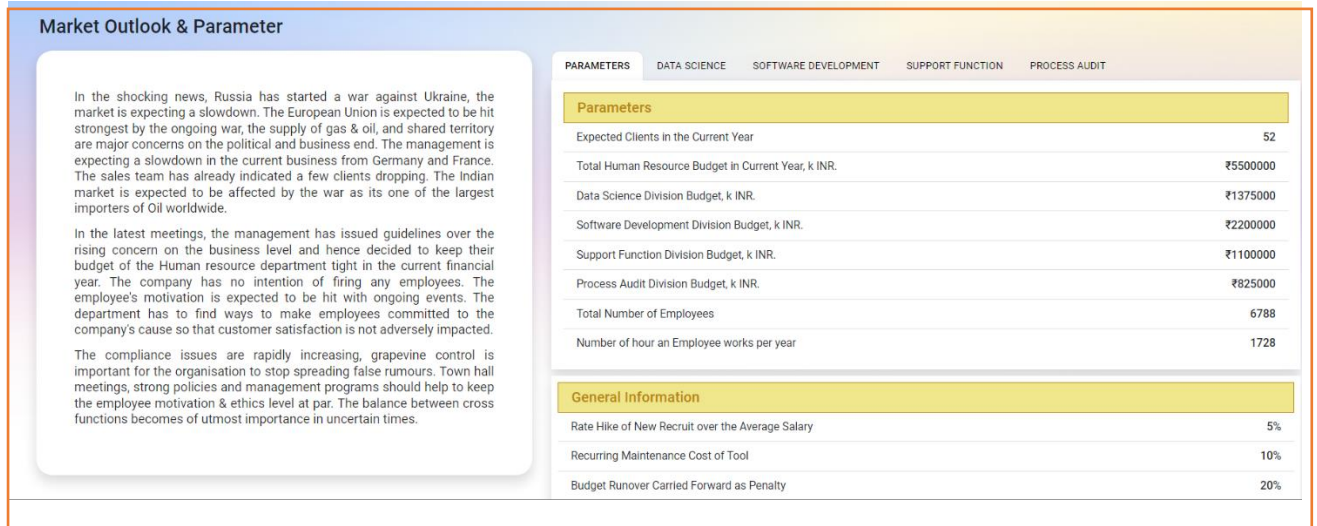
The participant must make multiple decisions within three distinct areas: talent acquisition, talent management, and effectiveness & budget, in addition to responding to a case scenario.

The participant has to keep in mind the market outlook and important parameters provided under the decision area, before taking the decisions. The participants will be provided with the constraint of budget for each department though they can transfer budgets from one department to another in case of requirement. The simulation is cooperative within the team while competing with other teams. The goal of each team is to take a sustainable decision through all 5 rounds/financial year so the company can sail through different economic conditions.

Decisions

The area includes five tabs, starting with a Market Outlook & Parameters, followed by Talent Acquisition, Talent Management, Effectiveness & Budgets, and ending with a section for addressing a Scenario.

1. Market Outlook & Parameters



Market Outlook & Parameter

In the shocking news, Russia has started a war against Ukraine, the market is expecting a slowdown. The European Union is expected to be hit strongest by the ongoing war, the supply of gas & oil, and shared territory are major concerns on the political and business end. The management is expecting a slowdown in the current business from Germany and France. The sales team has already indicated a few clients dropping. The Indian market is expected to be affected by the war as its one of the largest importers of Oil worldwide.

In the latest meetings, the management has issued guidelines over the rising concern on the business level and hence decided to keep their budget of the Human resource department tight in the current financial year. The company has no intention of firing any employees. The employee's motivation is expected to be hit with ongoing events. The department has to find ways to make employees committed to the company's cause so that customer satisfaction is not adversely impacted.

The compliance issues are rapidly increasing, grapevine control is important for the organisation to stop spreading false rumours. Town hall meetings, strong policies and management programs should help to keep the employee motivation & ethics level at par. The balance between cross functions becomes of utmost importance in uncertain times.

Parameters	
Expected Clients in the Current Year	52
Total Human Resource Budget in Current Year, k INR.	₹5500000
Data Science Division Budget, k INR.	₹1375000
Software Development Division Budget, k INR.	₹2200000
Support Function Division Budget, k INR.	₹1100000
Process Audit Division Budget, k INR.	₹825000
Total Number of Employees	6788
Number of hour an Employee works per year	1728

General Information	
Rate Hike of New Recruit over the Average Salary	5%
Recurring Maintenance Cost of Tool	10%
Budget Runover Carried Forward as Penalty	20%

Figure 1.1. The Market Outlook & Parameters displayed in the platform

The tab provides information about the micro and macro environmental factors which will affect business. As the economic condition changes so, the business needs to change and with that HR division needs to take appropriate action.

- Round 1: Business is Booming
- Round 2: Growth continues
- Round 3: The contraction cycle starts
- Round 4: Recession hits in
- Round 5: Business coming back to normal

The parameters define how the budget, hikes, attrition rate and various factor changes with change in business condition and your decisions from the previous year. The participant needs to consider both the overall general parameters and the specific parameters provided for each department individually.

2. Talent Acquisition

In the Talent acquisition tab, there are six decision areas to take which revolves around as follows:

2.1 Hiring Channel: The participants are provided 5 options out of which they need to select one option which is appropriate for hiring the specific profile employees. The option available to participants are:

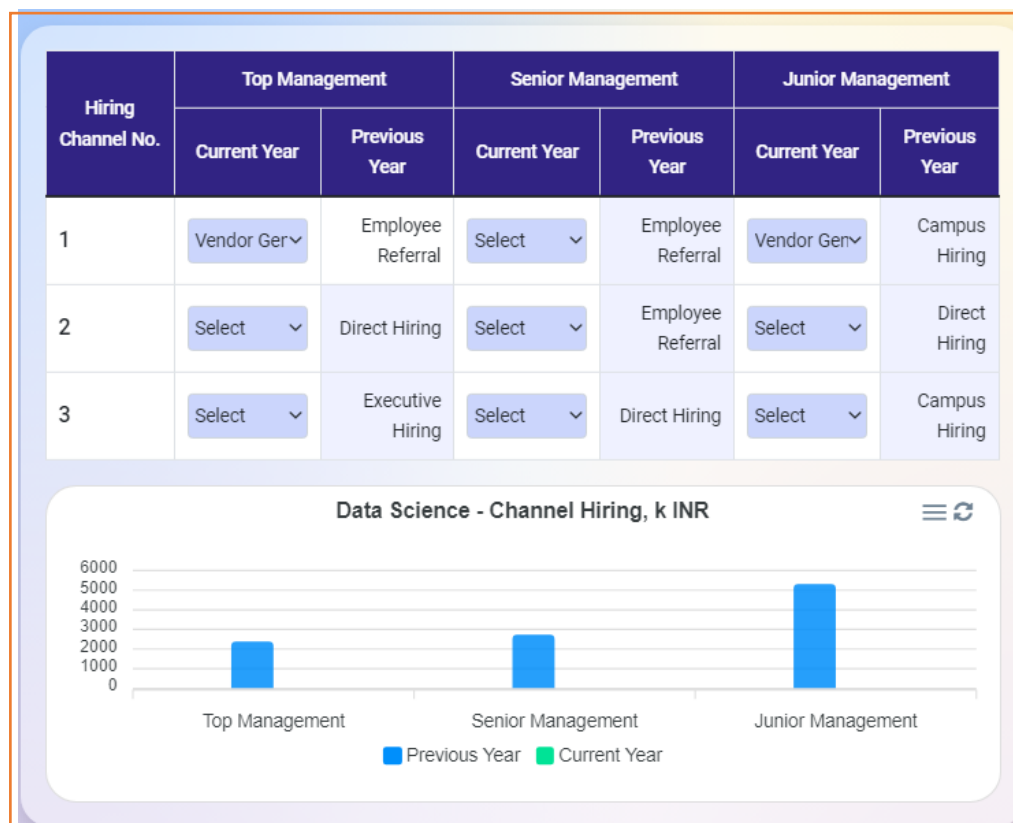


Figure 2.1 The Hiring decision tab Displayed in the platform

- Campus hiring
- Employee referral
- Direct hiring
- Vendor general hiring
- Executive hiring

The channels mentioned above have different effectiveness and cost when using them for specific profile hiring. Campus hiring would be more beneficial to Junior management while that would be not for Top management. The participants can select multiple channels whose cost will be reflected in the graph and effectiveness in reports once the financial year/round ends.

2.2 Hiring Units Count: The participant is tasked with deciding the number of personnel to be hired for each department and all three employee levels in the current round/year within this section.

2.3 Retrenchment Units Count: The participant must decide on the number of personnel they intend to retrench or cut back for each department and all three employee levels in the current round/year within this section.

2.4 Bench Hiring Units Count: The participant needs to decide on the number of personnel they intend to have as bench hiring for each department and all three employee levels in the current round/year within this section.

2.5 Recruitment Agency Hiring: The participant is responsible for deciding the number of personnel they intend to hire through a recruitment agency for each department and all three employee levels in the current round/year within this section.

2.6 Recruitment Agency Outsourcing: The participant needs to decide on the number of personnel they intend to outsource through a recruitment agency for each department and all three employee levels in the current round/year within this section.

3. Talent Management

Under the talent Management tab, the participant must take decisions in 8 important sections.

- **3.1 Compensation Rating:** The participants have to divide their employees into the rating of 5 stars to 1 star which will decide the compensation. As a rule of thumb 5-star employees get a as per position of range table while 1-star employee hardly gets a hike. The maximum cost in the budget will be employee compensation. The decision has to be tactful based on the retention of employees and cost. The position in range table besides indicates what would be a hike different percentile salaried employees will be offered in a particular star rating.

Talent Management

DATA SCIENCE

SOFTWARE DEVELOPMENT

SUPPORT FUNCTION

PROCESS AUDIT

POLICIES

Compensation Ratings, %	Top Management		Senior Management		Junior Management		Position in Range				
	Current Year(%)	Previous Year	Current Year(%)	Previous Year	Current Year(%)	Previous Year	Performer/Percentile	0 to 25%	25 to 50%	50 to 75%	75 to 100%
5 Star	0	20%	0	20%	0	20%	5 Star	10%	5%	3%	1%
4 Star	0	10%	0	10%	0	10%	4 Star	8%	4%	2%	1%
3 Star	0	10%	0	10%	0	10%	3 Star	7%	3%	1%	1%
2 Star	0	10%	0	10%	0	10%	2 Star	5%	2%	0%	0%
1 Star	100	50%	100	50%	100	50%	1 Star	2%	1%	0%	0%

Figure 3.1 The compensation rating decision area with position in Range displayed in the platform

- **3.2 Bonus Policy:** The participants have to decide the bonus for their top performers which would be 5-star and 4-star rated employees. The bonus will increase costs while increasing motivation.
- **3.3 Pay Cut Decision:** The participants have the option to decide regarding a pay reduction, which can range from 6% to 20% of the salary, based on the profiles of the employees.

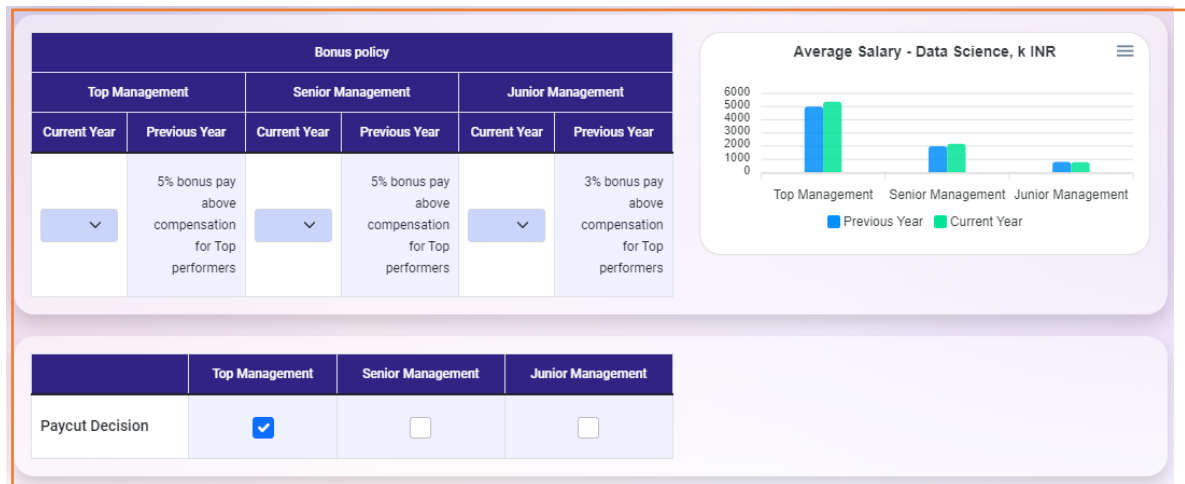


Figure 3.2 The bonus policy and Pay cut decision areas displayed in the platform

- **3.4 Training:** There are 5 options available in training from which participants have to select the appropriate option for each employee profile. While making decision employee time, motivation and needs have to be considered. The cost of each training is different and will be visible in graphs. Short training has the lowest cost and Training as per development plans have the highest cost. The effectiveness of training is in the same manner. Types of training are as under:
 - No training
 - One short training
 - Focused functional training
 - Training as needed
 - As per personal development plans
- **3.5 Future leadership program:** There are 5 future leadership program options given for the participant to choose from. It is the way the HR team says to the employee that we are seeing potential in you, we will train you and promote you next year to a higher position. The cost of each program is different and so does effectiveness. The program keeps the internal motivation of employees high and makes the firm attractive to new joiners.

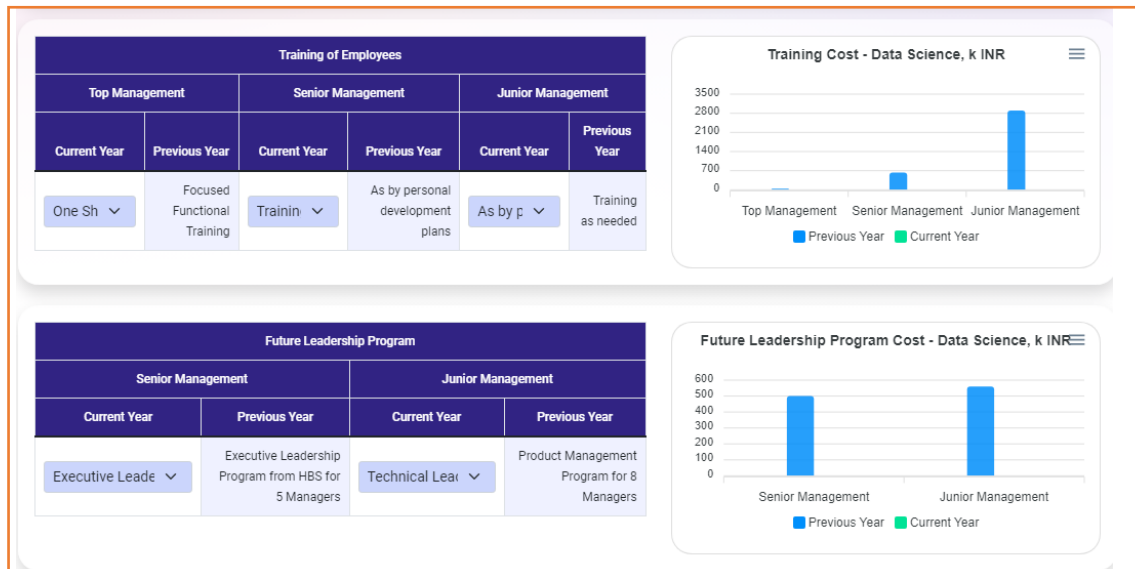


Figure 3.3 The Training and future leadership Program decision areas displayed in the platform

Policies

- 3.6 Division Policy: The policies will make employee life easy and keep them motivated to work. The participants have the freedom to choose any number of policies for each employee profile. The policies will increase commitment to work, make the place more attractive for new joiners and increase efficiency. The participants have 10 options of policies to choose from and each has a different cost as well as an effect on efficiency. The cost of implementation will be visible in tables on the same screen and the impact of it can be visible in reports on Talent Management.

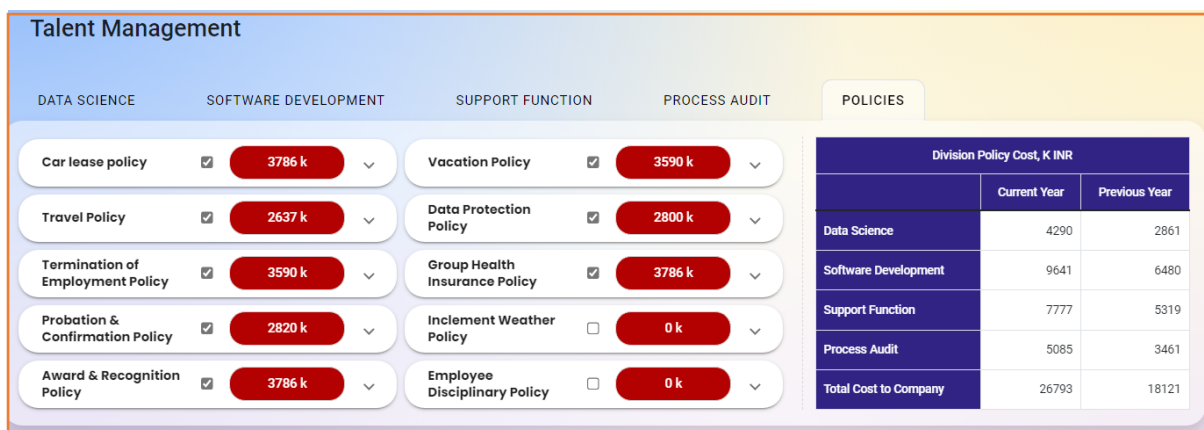


Figure 3.4 The Division Policy decision area displayed in the platform

- 3.7 Diversity Inclusion Policy: The policies will make the work environment gender friendly. One of the important criteria for the company is to increase the gender ratio and make workplace diversity in terms of thinking. The participants are presented with a selection of 10 policy options, and they have the flexibility to choose any number of policies for each employee profile. The cost of

implementation will be visible in tables on the same screen and the impact of it can be visible in increasing diversity in reports of Talent acquisition. The description of policy will be visible in cards while the trade-off in the budget has to be thought off with increasing diversity.

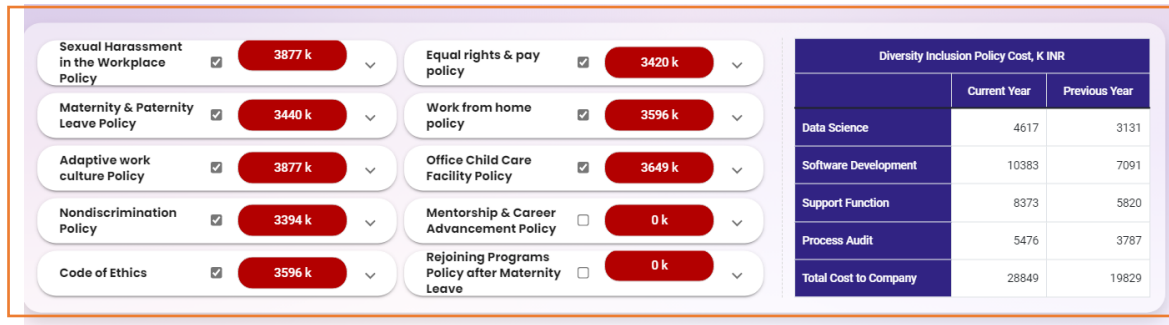


Figure 3.5 The diversity Inclusion Policy decision area displayed in the platform

- **3.8 Townhall Program:** The participants are offered 10 Townhall program options and can implement any 3 of them in a single financial year or round. The program is for communication between teams, a chance to meet leaders and increase cross communications. The program will increase the awareness level of employees and thereby will improve their performance. The cost will be updated in the tables to implement the program and a description of the program will appear on cards once selected. The budget of the division will be a trade-off against the awareness level. The awareness level will be visible in the Talent management report.

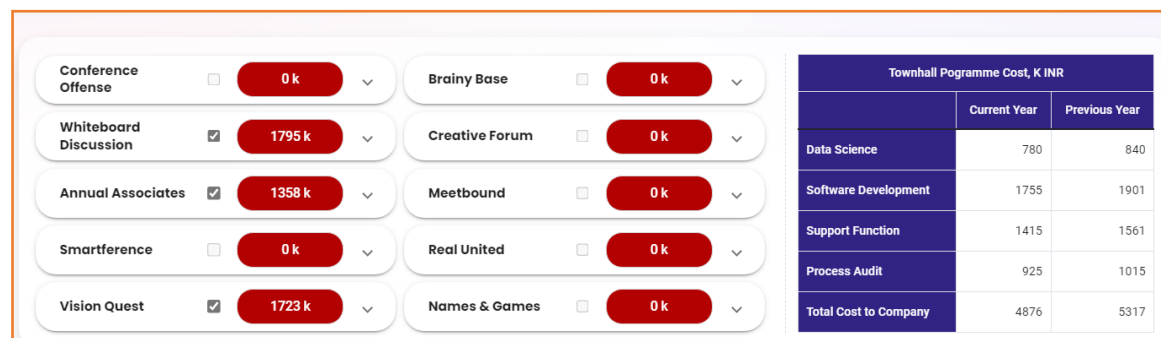


Figure 3.6 The Townhall Program decision area displayed in the platform

4. Effectiveness

In this tab the decision-making will be as follow:

4.1 Implementation of tool: The tools are necessary to be deployed in the organization as they will assist the HR team to control the process, managing learning & development, track recruitments and improve the process. The four tools which can be deployed are as under:

- Performance & Goal measurement Tool
- Recruitment Analytics Measurement Tool
- Workforce Analytics Measurement Tool
- Process Content & Guidance Tool

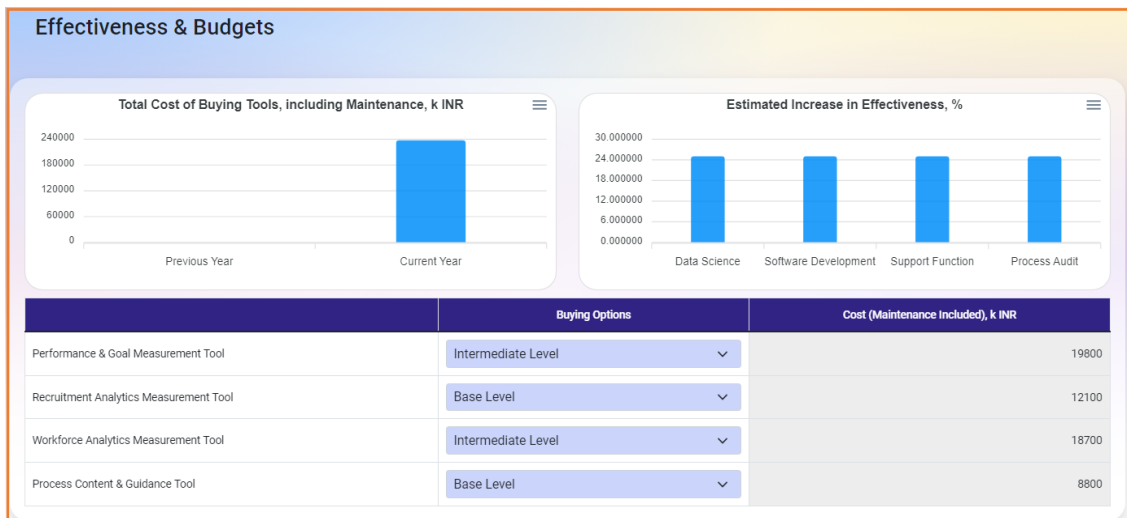


Figure 4.1 The Effectiveness tools decision area displayed in the platform

The above tools have an impact on HR team performance, employee efficiency and process improvements. There are three options available to deploy any tool i.e., Base level, Intermediate level, and Expert level. The option signifies the deployment cycle as if the team starts with the base level and moves to a higher level, which signifies the opportunity provided to teams by management to learn effectively from scratch and implement it. If the team decides on higher-level deployment at the start means a forceful proposition for employees to learn and implement.

The tools have different costs and impacts on each department. The cost of the tool also varies in which round it is deployed and at what level it is deployed. The impact of all tools will be present long term i.e., for the next three financial years. The tools cost consists of deployment + maintenance cost. The cost will be updated in tables and graphs as soon as decisions have been made. The effectiveness of tools in performance will be visible in graphs and reports of organization & effectiveness.

- 4.2 Budget Allocation: To increase stakeholder satisfaction, cooperation between departments plays the most significant role. The money will be transferred from one department to another department automatically in case of shortage. Despite that if budget is not managed effectively there will be a budget overrun visible in the report KPI. The department will charge a penalty equivalent to 20% of the budget overrun will reduce the budget in the upcoming year and visible in the parameters.

5. Case Scenario

In every round, the participant is presented with a unique case scenario. They are required to provide both subjective and objective answers after carefully considering the scenario. Once they have given their subjective response, the participant can submit it by proceeding to "lock my action." The second step involves selecting appropriate options from a list of choices. The game concludes upon completing these steps. To review the results and assess their performance, the participant can move to the reports section.

Ms. Linda has joined the Project team of Nify Inc recently and is working under Ms.Cathy, who is the senior Technical Architect having acknowledged expertise in the department. Linda always seeks help or suggestions from Ms.Cathy, but she is not willing to share her knowledge on the matter with Ms. Linda or other team members. To maintain her position as the team's go-to person, Cathy refused to share critical information with Linda and the other team members and insisted that all documents roll up to her. The final submission to the client was also not discussed or shared with the team. As a result of Cathy's lack of adequate assistance, and lack of learning inputs, the team members found it more difficult to carry out their assigned jobs. The team's morale soon began to decline. As an HR Manager, Select the best step that will work best for Linda and her team.

Q. Describe briefly what you would have done in the case before selecting available options (limit to 300 characters)

Lock my action

Figure 5.1 The Case Scenario Section displayed in the platform

Note: Participant cannot change the subjective response once "lock my action" is clicked.

Reports

Once all decisions are made and participants submit them, the performance will be updated for that particular financial year/round in the report section. The reports are divided into 4 parts:

- I. **Organization Effectiveness Report**
 - The report presents the cost of tools which are deployed in the round. The maintenance cost will be visible in all future reports of that tool.
 - The increment in performance level & efficiency level compared to the last round after deploying the tool will be visible too.
- II. **Talent Acquisition Report**
 - The report shows how hiring channels increases employer branding and new people were attracted to join the company.
 - The overall scenario of how many people is hired/retrenched/resigned from a particular department and profile. The Recruitment agency outsourcing shows that recruitment in that department fell short of that number. The gender diversity ratio, cost of channels, cost of Recruitment agency outsourcing, and salary cost are visible in this report.
 - The recruitment metrics show offer dropouts (got better offer outside), recruitment metrics (if less than 100% then work is outsourced) and attrition rate (depends on policies)

III. Talent Management Report

- The increment in awareness & commitment level compared to last year. (Depends on policies, training, and tools)
- The employee engagement score (max 5) which depends on awareness and commitment factor
- The cost of Learning & management, as well as a learning index.

IV. KPI

- Productivity level (base 1) if less than 1 shows a lack of motivation (rethink talent management) which above 1 shows commitment
- Well-being Index (base 1) if less than 1 employee is quite free otherwise overloaded (rethink talent acquisition)
- The budget penalties will be visible under this report.
- Employee satisfaction score (max 5) depends on employee engagement and stress level.
- Stakeholder satisfaction score (max 5) depends on employee satisfaction score and budget overrun.

Game Play

- The save button option is provided in every decision tab such as:
 - Talent acquisition (Process Audit function)
 - Talent Management (Policies and training Decisions)
 - Effectiveness & budgets (Organisational effectiveness tools Decisions)

Once decisions are made save button is compulsory otherwise system will not store decisions and will not allow participants to click Submit button in the Scenario tab. The save button will also keep the progress otherwise if participants log out then progress will be lost for that round. Once decisions are saved, they can be changed 'n' number of times before being submitted.

- Once the decisions of each tab are saved, the participant has to save the answers for the case provided in the scenario tab then proceed with the option "Submit & Check" and finally the "Exit" option will be available, once that is pressed participants will return to the home tab. After that, they can enter the Game arena again to play the next round.
- The participants have to play 1 practice & 5 rounds. The practice round is for understanding the results while scores will be accounted from actual round only. The download reports in excel format is available from the report section.
- The timer indicates the total time available to complete the entire game. Participants can progress at their own pace, and it is not mandatory for everyone to submit their decisions simultaneously, they have to adhere to the deadline of the simulation set by instructor.